application of the methodology and assumptions determined pursuant to subdivision (b).” Government Code Section 65584.01(c)(2)(B)

Through the above discussion on cost burden, staff propose that, should the subcommittee, CEHD, and RC wish to file an objection to the RHND, they decide on one of two alternative determinations based on the cost-burden adjustment discussed above.

The first approach would be that a lower-income-only cost-burden adjustment is a more reasonable application of the methodology and assumptions in statute. This approach leverages the lower-income RHNA requirements to create a more direct connection between the housing need identified and the affordability problem the adjustment is intended to address.

The second is to remove the cost burden adjustment entirely because accurately assessing the additional housing supply needed to reduce cost burden requires economic analysis and modeling that is currently unavailable. In the absence of this modeling, HCD adds another supply target to the RHND, but in this case, one that does not establish a clear connection to its solution, particularly in the SCAG region.

FISCAL IMPACT:
None.

ATTACHMENT(S):
1. PowerPoint Presentation - 7th Cycle RHND
2. SCAG 7th Cycle Final Determination Letter
3. SCAG 7th Cycle RHND Workbook - Table of Contents
4. SCAG 7th Cycle RHND Workbook - TABLE 2
5. GOV_65584.01